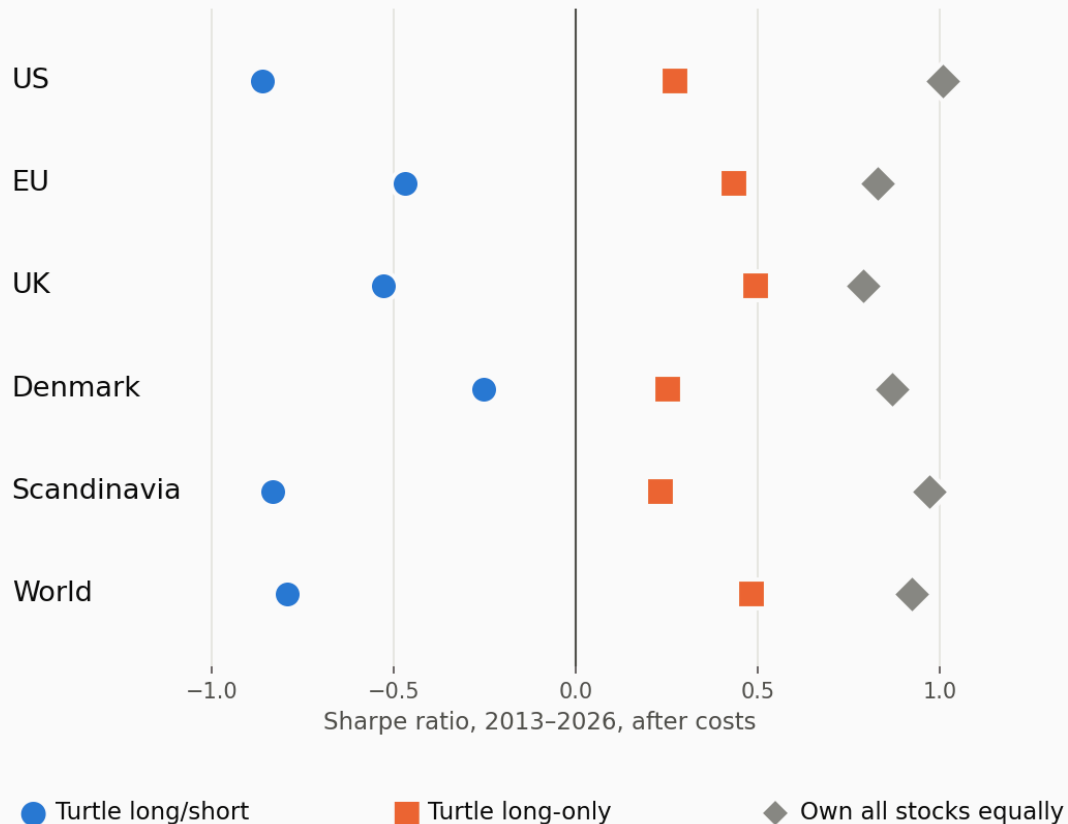


The Turtle Traders

Richard Dennis's 1983 rules, stock by stock, six markets



Long/short lost in all six. Long-only never beat owning all stocks.

Henrik Gjernerig · Project 10 · point-in-time universes, local currency (World in USD)

Henrik Gjernerig · LinkedIn

In 1983 Richard Dennis bet that trading could be taught. He hired 23 novices, gave them one rulebook, and they reportedly made over \$100 million trading futures.

I ran the same rules on single stocks in six markets, 2013–2026: US, Europe, UK, Denmark, Scandinavia and the world. Point-in-time index members, after costs.

The long/short version lost money in all six markets (Sharpe -0.86 to -0.25).

The long-only version made money, but had a lower Sharpe than simply owning all the stocks equally, in every market.

Why? Four things: costs from oversized positions, shorting a bull market, a stop tighter than a normal day's noise, and at the root: single stocks do not trend at these horizons. A new 55-day high predicts nothing about the next 60 days.

Fixing what can be fixed gives a half-beta equity book, not an edge (holdout Sharpe 0.64 vs 0.75 for owning all the stocks). The rules were built for futures. That is where they belong.

This is the first strategy factsheet: rules, data, full P&L, trade records, drawdowns, factor attribution, what goes wrong, and where the strategy fits.

Full factsheet: <https://hgjerner.github.io/now-showing/factsheets/fs01-turtle-traders>

#investing #quant #trendfollowing #backtesting